

Claims Litigation and Legal Referral Guide

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Audience: Claims adjusters and claims legal liaison staff

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1. Purpose

Most claims resolve through the standard adjudication process described in the Claims Adjudication Guidelines without any legal involvement. This guide describes the narrower set of circumstances where a claim is referred to legal counsel or heads toward litigation, and how the adjuster's role changes once that referral happens.

2. Referral Triggers

A claim is referred to legal counsel when: a lawsuit has been filed or a claimant's attorney has issued a formal demand exceeding the adjuster's settlement authority, coverage itself is disputed in a way that a policy interpretation question cannot be resolved through the Coverage Interpretation Notes, a claimant alleges bad faith in the handling of the claim, or a third-party liability claim involves a fatality or catastrophic injury.

3. Adjuster Role After Referral

Referral to legal counsel does not remove the adjuster from the claim — the adjuster continues to manage the factual investigation, coverage documentation, and communication with the policyholder, while legal counsel manages the legal strategy and any court filings. The five-step adjudication sequence in the Claims Adjudication Guidelines still applies to establish the coverage position; litigation does not substitute for that determination, it responds to it.

4. Reserve Implications

A claim referred to litigation typically carries an increased expense reserve component (Claims Financial Reserving Guide, Section 8) to account for anticipated

legal costs, independent of any change to the indemnity reserve, which still reflects the underlying coverage determination.

5. Settlement Authority During Litigation

Settlement authority during active litigation follows the same escalating-authority structure as any other claim, but with legal counsel's recommendation added as an input to the adjuster's and any required supervisor's decision — legal counsel does not have unilateral settlement authority, and a settlement is still documented against the underlying coverage position established through adjudication.

6. Coverage Disputes Escalated to Declaratory Judgment

Where a coverage question cannot be resolved through the normal adjudication process — most commonly an ambiguous policy provision where the Coverage Interpretation Notes do not resolve the ambiguity and the dispute is material — legal counsel may recommend a declaratory judgment action to have a court determine the coverage question. This is reserved for genuine ambiguity, not used as a substitute for applying the plain language of the Policy Wording.

7. Bad Faith Allegations

A bad faith allegation is escalated immediately regardless of the claim's dollar value, since it concerns the handling process itself rather than the underlying loss. The file is reviewed against the documentation standard in the Claims Quality Assurance and Audit Program, Section 3, to confirm the adjudication sequence was followed and cited correctly — the same standard that protects a well-handled claim is the standard used to evaluate a bad-faith allegation against it.

8. Subrogation Litigation Distinguished

Litigation to recover subrogation proceeds from a liable third party (Subrogation and Recovery Guide) is handled differently from litigation defending or clarifying Meridian Mutual's own coverage position — a subrogation action is offensive litigation to recover money already paid, not a dispute about what is owed to the policyholder, and does not require the same referral triggers described in Section 2.

9. Claim File Preservation During Litigation

Once a claim is referred to legal counsel, the claim file — including all citations to Policy Wording, exclusion analysis, and the deterministic payout computation — is

preserved as-is; further factual investigation continues to be added, but the original adjudication record is not altered, since it may become evidence in the proceeding.